

their stocks. It takes a moving van to get out of a house, and only a phone call to get out of a stock.

Finally, you're a good investor in houses because you know how to poke around from the attic to the basement and ask the right questions. The skill of poking around houses is handed down. You grow up watching how your parents checked into the public services, the schools, the drainage, the septic perk test, and the taxes. You remember rules such as "Don't buy the highest-priced property on the block." You can spot neighborhoods on the way up and neighborhoods on the way down. You can drive through an area and see what's being fixed up, what's run-down, how many houses are left to renovate. Then, before you make an offer on a house, you hire experts to search for termites, roof leaks, dry rot, rusty pipes, faulty wiring, and cracks in the foundation.

No wonder people make money in the real estate market and lose money in the stock market. They spend months choosing their houses, and minutes choosing their stocks. In fact, they spend more time shopping for a good microwave oven than shopping for a good investment.

(2) DO I NEED THE MONEY?

This brings us to question two. It makes sense to review the family budget before you buy stocks. For instance, if you're going to have to pay for a child's college education in two or three years, don't put that money into stocks. Maybe you're a widow (there are always a few widows in these stock market books) and your son Dexter, now a sophomore in high school, has a chance to get into Harvard—but not on a scholarship. Since you can scarcely afford the tuition as it is, you're tempted to increase your net worth with conservative blue-chip stocks.

In this instance, even buying blue-chip stocks would be too risky to consider. Absent a lot of surprises, stocks are relatively predictable over ten to twenty years. As to whether they're going to be higher or lower in two or three years, you might as well flip a coin to decide. Blue chips can fall down and stay down over a three-year period or even a five-year period, so if the market hits a banana peel, then Dexter's going to night school.

Maybe you're an older person who needs to live off a fixed income, or a younger person who can't stand working and wants to live off a fixed income from the family inheritance. Either way, you should stay out of the stock market. There are all kinds of complicated formulas for figuring out what percentage of your assets should be put into stocks, but I have a simple one, and it's the same for Wall Street as it is for the racetrack. ***Only invest what you could afford to lose without that loss having any effect on your daily life in the foreseeable future.***